

INSURANCE AND PENSIONS COMMISSION



HALF YEAR REPORT FOR LIFE ASSURERS

FOR THE HALF YEAR ENDED 30 JUNE 2013

List of Acronyms and Abbreviations

GPW	Gross Premium Written
NPI	Net Premium Income
GPI	Gross Premium Income
IPEC/ Commission	Insurance and Pension Commission
Y-Growth	Year on year growth
Q-Growth	Quarterly growth
'13	The Year 2013
'12	The Year 2012
NOTE:	ALL MONETARY FIGURES ARE IN USD



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2.0 Industry Overview

This report is based on 9 Life assurance companies and 2 reinsurance companies. The life industry wrote \$101million in net premiums, almost a double figure from the same period last year. Total costs amounted to \$77million resulting in the industry realizing \$24million in technical profit (June 2012: \$20million). The expense and combined ratios were reportedly 25% and 76% respectively (June 2012: 36% and 62%).

Total assets grew from \$875million in June 2012 to \$1,434million for the half year ended 30 June 2013.

The life assurance industry was largely compliant with the new capital requirements for the current reporting period.

Table 1, below summarizes the aggregated financial indicators of the life assurance industry.

Table 1: Financial Performance Indicators for Life Companies for the quarter ended 30 June 2013

Item	Life Assurers			Life Re assurers			TOTALS / AVERAGE		
	Jun-12	Jun-13	Var	Jun-12	Jun-13	Var	Jun-12	Jun-13	Var
Gross Premiums Written (000)	50,814	100,435	98%	2,734	3,234	18%	53,548	103,669	94%
Net Premiums Written (000)	49,376	98,749	100%	2,459	2,545	3%	51,835	101,294	95%
Retention Ratio	97%	98%	1%	90%	79%	-13%	97%	98%	1%
Total Gross Claims (000)	13,357	51,604	286%	524	929	99%	13,881	52,533	178%
Total Net Claims (000)	12,956	50,942	293%	524	814	74%	13,480	51,756	284%
Management Expenses (000)	15,475	20,941	35%	471	700	172%	15,946	21,641	36%
Commissions (000)	2,071	2,671	29%	651	673	268%	2,722	3,344	23%
Total Costs (000)	30,502	74,555	144%	1,646	2,546	141%	32,148	77,101	140%
Technical Profit (000)	18,874	24,194	28%	813	-1	269%	19,687	24,193	23%
Expense Ratio	36%	24%	-12%	46%	54%	360%	36%	25%	(11%)
Combined Ratio	62%	75%	13%	67%	100%	133%	62%	76%	14%
Total Assets (000)	870,801	1,426,031	64%	4,683	6,943	59%	875,484	1,432,974	64%
Total Liabilities (000)	-	1,191,369	0	-	4,742	-	-	1,196,111	-
Free Capital (000)	-	235,880	0	-	2,171	-	-	238,051	-
Capital to liability Ratio	-	20%	0	-	46	-	-	20	-
Prescribed Asset Ratio (%)	0	1	0	-	0	-	-	1	-



Section A

Life Assurance Companies

3.0 Update on Number of Operational Institutions

This report is centered on 9 life assurers.



4.0 Net Premiums Written

For the half year ended 30 June 2013, life companies wrote \$99million in Net Written Premiums (March 2013:\$47million).This reflected a 100% annual growth from the same period last year and 120% growth from the previous quarter. This indicates improvements in policyholder confidence in the sector from the economic depression of the last decade (See Table 2, below).

Table 2: Net Written Premium Distribution by Company for the half year ended 30 June 2013

Name of Company	NPW (USD 000)			Growth	
	Jun-12	Mar- 13	Jun-13	Quarterly	Annual
Altfin	2,153	886	1,719	94%	(20)%
Cbz	563	1,807	3,845	112%	583%
Evolution	365	102	233	128%	(36)%
Fidelity	3,610	2,254	4,384	94%	(21)%
FML	10,143	6,624	13,305	101%	31%
Heritage	497	324	653	102%	31%
Old Mutual	23,658	27,937	64,719	132%	174%
Zb Life	3,070	1,586	3,444	117%	12%
Zimnat	5,317	3,287	6,447	96%	21%
TOTAL	49,376	44,807	98,749	120%	100%

5.0 Business Composition

For the period under review, the life industry wrote \$100 million in gross premiums drawn from recurring business 82%, (March 2013:95%) and the balance was new business.

Employee benefit products contributed \$85 million or 85% in gross premium terms whilst individual lines business made up a paltry 15%.This may be an indicator of the incapacitating effects of the prevailing liquidity crunch especially on individuals with low disposable incomes.(See Table 3,below).



Table 3: Business Composition by Company half year ended 30 June 2013

Co. Name	Individual Life (\$000)						Employee Benefits (\$000)						Total Gross Premiums Written (\$000)				
	New Business			Recurring Premiums			New Business			Recurring Premiums			Jun-12			Growth (%)	
	Mar-13	Jun-13	%	Mar-13	Jun-13	%	Mar-13	Jun-13	%	Mar-13	Jun-13	%		Mar -13	Jun-13	Quarterly	Annual
Altfin	35	49	40	836	-	-	-	-	-	158	1,956	1138	2,357	1,029	2,005	95	(85)
CBZ Life	46	312	578	404	1,107	174	344	1,489	333	1,051	1,034	(2)	577	1,845	3,942	114	583
Evolution	11	138	1155	90	102	13	-	-	-	-	-	-	930	101	240	138	(74)
Fidelity	225	208	(8)	257	644	151	-	-	-	1,868	3,727	100	3,742	2,350	4,579	95	22
FML	94	561	397	2,839	5,579	97	49	119	143	3,715	7,177	93	10,188	6,697	13,435	101	32%
Heritage	10	27	170	188	377	100	5	-	-	135	279	107	526	338	683	102	30%
O. Mutual	139	737	430	1,578	2,867	82	1,166	14,219	1119	25,247	47,250	87	23,719	28,130	65,073	131	174%
Zb Life	262	262	-	390	1,076	176	15	39	160	1,064	2,270	113	3,246	1,731	3,647	111	12%
Zimnat	33	162	391	398	768	93	77	179	132	2,973	5,729	93	5,528	3,481	6,839	96	24%
TOTAL	855	2,456	187	6,980	12,520	79	1,656	16,045	869	36,211	69,422	92	50,814	45,702	100,443	120	98%

5.2 Business Composition by Class

Most premiums being received by life companies are mainly coming through recurring business. This demonstrates that the penetration ratios are still low as new business being recorded remains low.

The statistics reported by the life industry showed three major classes of business namely fund business (\$68million or 69%), GLA (\$15million or 15%) and funeral (10% or \$10million) (See Table 4 and Figure 1 below).

Table4: Written Business Classes by Company for the half year ended 30 June 2013

Co. Name	Annuities			Term Assurance			Endowment			Pure Endowment			Whole Life			Funeral			Fund Business			OTHER/GLA			Total		
	Mar-13	Jun-13	%	Mar-13	Jun-13	%	Mar-13	Jun-13	%	Mar-13	Jun-13	%	Mar-13	Jun-13	%	Mar-13	Jun-13	%	Mar-13	Jun-13	%	Mar-13	Jun-13	%	Mar-13	Jun-13	%
Altfin	12	40	233	-	9	-	-	-	-	-	-	-	-	-	-	-	-	-	-	1,956	-	1,017	0	-	1,029	2,005	95
CBZ Life	748	1,375	84	-	-	-	0	0	-	0	0	-	0	0	-	1,097	2,566	134	0	0	-	0	0	-	1,845	3,942	114
Evolution	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	240	-	-	-	-	101	0	-	101	240	138
Fidelity	-	23	-	-	-	-	164	294	79	8	13	63	129	126	(2)	0	0	-	1,867	3,728	100	182	395	117	2,350	4,579	95
FML	414	1,617	291	0	0	-	43	6	(86)	273	615	266	54	225	317	2,141	4,376	104	3,772	3,843	2	0	2,753	-	6,697	13,435	101
Heritage	3	6	100	0	0	-	2	5	150	31	63	103	0	0	-	161	330	105	141	279	98	0	0	-	338	683	102
O. Mutual	4,564	931	(80)	0	-	-	0	-	-	0	-	-	626	1,276	104	695	1,396	101	17,858	52,431	194	4,388	9,039	106	28,130	65,073	131
Zb Life	2	2	-	207	181	(13)	0	-	-	53	53	-	0	3	-	0	23	-	1,469	3,385	130	0	0	-	1,731	3,647	111
Zimnat	404	152	(62)	0	0	-	0	0	-	0	54	-	19	47	147	385	829	115	2,673	2,876	8	0	2,881	-	3,481	6,839	96
Total	6,147	4,146	(33)	207	190	(8)	209	305	46	365	798	119	828	1,677	103	4,479	9,760	118	27,780	68,498	147	5,688	15,068	165	45,702	100,443	120



Figure 1: Written Business Classes by Company for the half year ended 30 June 2013

5.2.1 Not-taken Up and Lapsed Policies

The industry reported that individual lines business invariably recorded high lapse ratios whilst employee benefits reported nil figures. The figures suggests that individuals focus almost entirely on meeting daily needs than insurance as a result of low disposable incomes (Table 5, below).

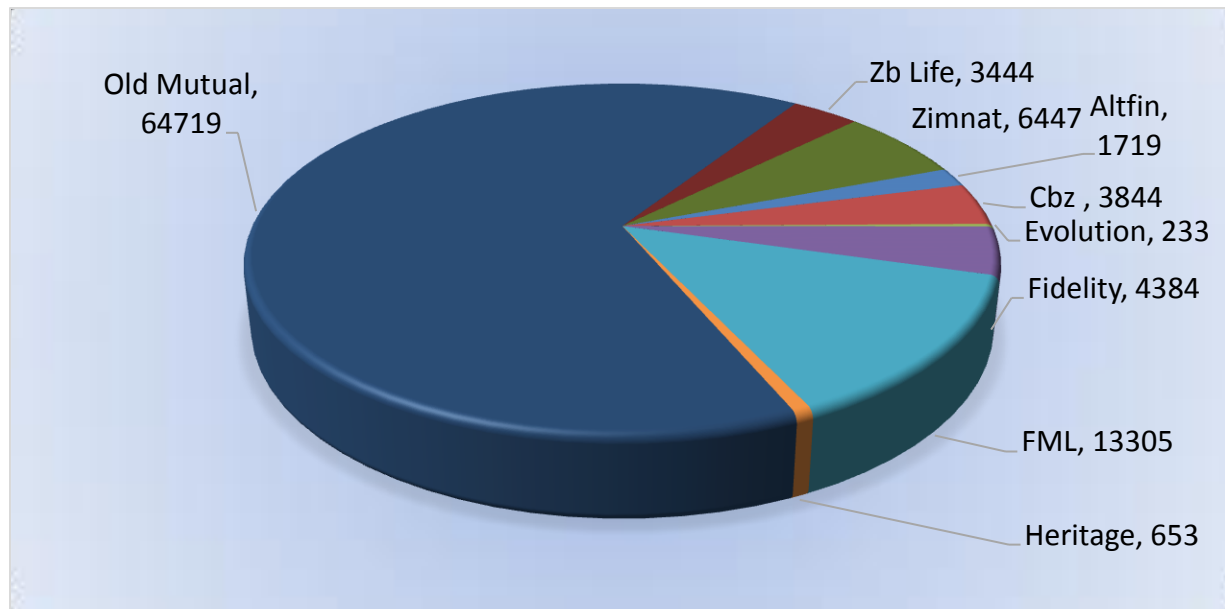
Table 5: Lapsed Policies for the half year ended 30 June 2013

Co. Name	Lapse Ratios (%)	
	Individual	E.B/Corporates
Altfin	0	0
CBZ Life	7	0
Evolution	1	0
Fidelity	51	0
FML	52	0
Heritage	2	0
O. Mutual	7	0
Zb Life	28	0
Zimnat	12	0

6.0 Market Share for Life Assurers

For the period under review, the two top companies controlled 79% or \$79million of the total business (March 2013:77%).As pointed out earlier in the report that fund business and funeral business accounted for 93% of written business, the Commission encourages competition to be biased towards product innovation and new product development which are responsive to the new socio-economic dispensation (See Table 4 above and Figure 2 below).

Figure 2: Market share for life companies by Gross Written Premium half year ended 30 June 2013(000)



7.0 Claims Analysis

For the half year ended 30 June 2013, life companies paid \$51million in net claims (March 2013: \$23million). Total claims grew by 79% against premium growth rates of 100% (See Table 6, below and Table 2, above).

The major claim categories were surrenders (\$22million or 43%), maturity (\$14million or 28%) and death (\$10million or 19%).

Table 6: Claims Categories by Company for the year ended 30 June 2013(\$000)

Co. Name	Death		Maturity		Disability		Surrenders		Annuities		Reinsurance		Total Net Claims		
	13-Mar	13-Jun	13-Mar	13-Jun	13-Mar	13-Jun	13-Mar	13-Jun	13-Mar	13-Jun	13-Mar	13-Jun	13-Mar	13-Jun	(%)
Altfin	69	214	0	29	0	0	146	139	0	0	23	134	192	248	129%
CBZ Life	323	674	0	0	0	0	0	0	0	0	0	0	323	674	775%
Evolution	8	22	0	0	0	0	0	0	0	0	0	0	8	22	-57%
Fidelity	270	534	18	48	0	0	73	65	15	44	0	9	376	682	97200%
FML	233	185	429	417	385	0	311	225	239	239	345	0	1,259	1,066	-27%
Heritage	30	77	0	1	0	0	11	27		0	13	0	28	105	48%
O. Mutual	2,813	4,521	5,108	13,565	0	0	8,947	21,366	2,449	5,056	12	159	19,305	44,349	607%
Zb Life	365	709	9	52	0	0	145	301	0	0	10	20	509	1,042	-43%
Zimnat	842	2,740	243	354	0	0	0	0	0	0	39	340	1,046	2,754	84%
Total	4,953	9,676	5,807	14,466	385	0	9,633	22,123	2,703	5,339	442	662	23,046	50,942	79%

7.0 Claims Aged Analysis

For the second quarter ended 30 June 2013, the industry reported total outstanding claims amounting to \$2million. Current claims amounted to \$0,5million or 24% whilst \$1.2million or 55% were above 120days old. Industry players must pay their claim obligations in line with policy conditions and within reasonable time lines (See table 7, below).

Table7: Claims Aged Analysis by Company for the half year ended 30 June 2013 (\$000)

Co. Name	>30days	31-60days	61-90days	91-120days	<121 days plus	Total
Altfin	8	139	9	0	226	382
CBZ Life	7	0	0	0	0	7
Evolution	2	0	0	0	0	2
Fidelity	165	2	5	12	66	250
FML	188	162	10	122	789	1,271
Heritage	0	0	0	0	0	0
O. Mutual	134	0	0	0	0	134
Zb Life	29	28	1	2	152	212
Zimnat	0	0	0	0	0	0
Total	533	331	25	136	1,233	2,258

8.0 Debtors Aged Analysis

For the period under review, life companies reported outstanding premiums amounting to \$7million or 7% of gross written premium. Consequently, average industry premium collection rate was 93% (March 2013:83%). (See Table 8, below).

Table 8: Debtors Aged Analysis by Company for the half year ended 30 June 2013 (\$000)

Co. Name	>30days	31-60days	61-90days	91-120days	<121 days plus	Total
Altfin	181	107	101	296	996	1,681
CBZ Life	216	220	65	0	0	589
Evolution	23	-	-	-	-	23
Fidelity	447	197	132	920	0	1,696
FML	274	246	447	7	-	975
Heritage	124	38	21	179	-	362
O. Mutual	-	-	-	-	-	-
Zb Life	-	-	-	-	-	0
Zimnat	-	-	-	-	-	0
Total	1,774	1,373	1,204	1,960	1,156	7,467

9.0 Earnings

For the period under review, operational expenditure accounted for \$21million or 28% of total costs (March 2013:\$8million or 25%), claims, \$51million or 68% (March 2013:\$23million or 70%) whilst total commission was \$3million or 4% (March 2013: \$2million or 5%).

The industry reported a combined ratio of 78% (March 2013:74%)(See Table 9, below and Figure 2,below). In order to promote viability, players are encouraged to continue managing key expenses effectively and efficiently (See Table 9, below and Figure 3, below).

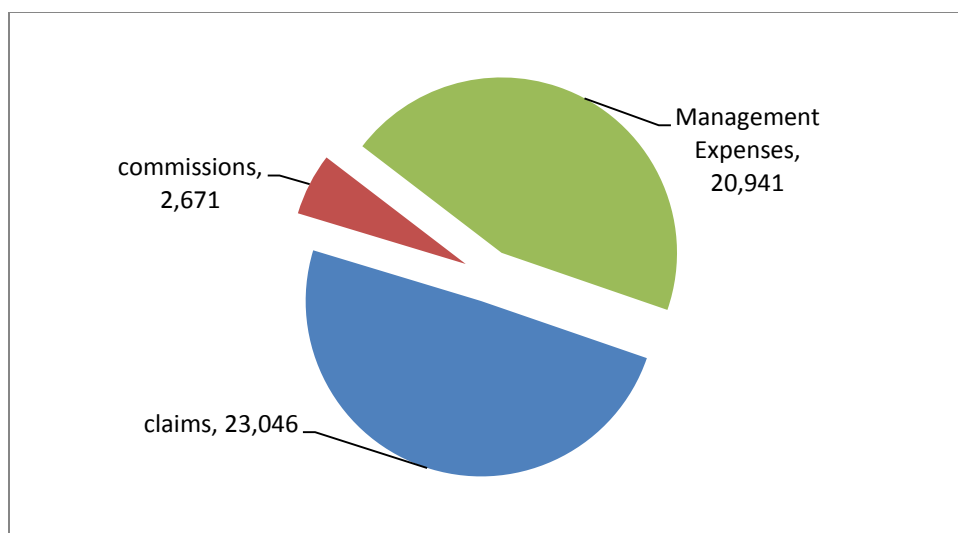
Table 9: Key Income and Cost Indicators By Company for the half year ended 30 June 2013



Co. Name	NPW(\$000)		Claims(\$000)			Commissions(\$000)			Management Expenses(\$000)			Total Costs(\$000)					Combined Ratio		
	Mar- 13	Jun-13	Mar 13	Jun-13	Grow th	Mar 13	Jun- 13	Growt h	Mar 13	Jun-13	Grow th	June 12	Mar 13	Jun-13	Yearly Growth	Quaterly Growth	June 12	Mar 13	Jun- 13
Altfin	886	1,719	192	248	29%	99	191	93%	400	871	118%	1,417	691	1,310	(8%)	90%	66%	78%	76%
CBZ Life	1,807	3,845	323	674	109%	237	295	24%	448	1,077	140%	370	1,008	2,046	453%	103%	66%	56%	53%
Evoluti on	102	233	8	22	175%	2	0	-	150	318	112%	220	160	340	55%	113%	60%	157%	146%
Fidelity	2,254	4,384	376	682	81%	43	62	44%	1,079	2,329	116%	2,306	1,498	3,073	33%	105%	64%	66%	70%
FML	6,624	13,305	1,259	1,066	(15%)	396	871	120%	1,955	6,323	223%	8,842	3,610	8,260	(7%)	129%	87%	54%	62%
Heritag e	324	653	28	105	275%	48	110	129%	134	284	112%	497	210	499	-	138%	100%	65%	76%
O. Mutual	27,937	64,719	19,305	44,349	130%	293	625	113%	3,074	6,823	122%	9,561	22,672	51,798	442%	128%	40%	81%	80%
Zb Life	1,586	3,444	509	1,042	105%	393	274	(30%)	381	1,290	239%	4,016	1,283	2,606	(35%)	103%	131%	81%	76%
Zimnat	3,287	6,447	1,046	2,754	163%	122	243	99%	782	1,626	108%	3,674	1,950	4,623	26%	137%	69%	59%	72%
Total	44,807	98,749	23,046	50,942	121%	1,633	2,671	64%	8,403	20,941	149%	30,903	33,082	74,554	141%	125%	63%	74%	75%

Figure3: Key Cost Indicators By Company for the half year ended 30 June 2013





10. Asset Quality

For the period under review, the life companies reported that their assets were in properties or \$474million or 33% (March 2013: \$458million or 36%), equities-\$617million or 43% (March 2013: \$550million or 43%) money market-\$141million or 10% (March 2013: \$147million or 12%), cash assets, \$8million or 1% (March 2013:\$10m or 1%) and other assets-\$169million or 12% (March 2013: \$90million or 7%).

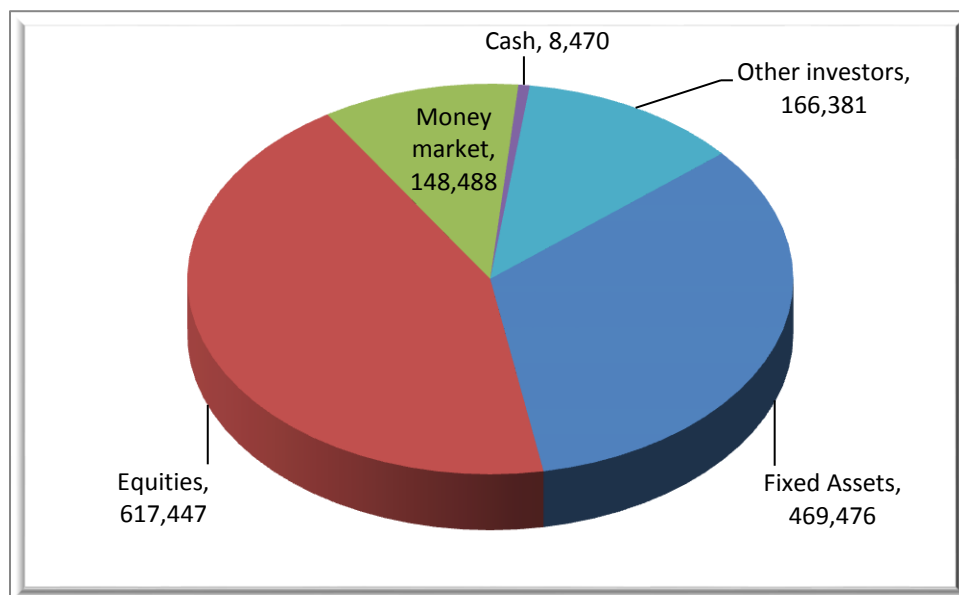
As at 30 June 2013, the prescribed asset ratio was at \$16million or 1% due mainly to lack of prescribed paper. Vetting of prospective applications is ongoing (See Table 10 and Figure 4, below).

The industry must continue to make reference to investment guidelines in line with Circular No.1 of 2013 for prudential asset allocations.

Table 10: Life industry Asset bases for the half year ended 30 June 2013

Co. Name	Fixed Property (000)			Equities (000)			Money Market (000)			Cash (000)			Other Investments (000)			Prescribed Assets			Total Assets (000)				
	Mar 13	Jun-13	%	Mar 13	Jun-13	%	Mar 13	Jun-13		Mar 13	Jun-13	%	Mar 13	Jun-13	%	Mar 13	Jun-13	%	Jun-12	Mar 13	Jun-13	Qtl y-%	Ann -%
Altfin	1,758	1,500	(15)	-	0	-	(297)	(333)	-	711	236	(67)	297	0	-	-	0	0	6,093	2,469	1,403	(43)	(77)
CBZ Life	171	169	(1)	-	0	-	4,466	5,224	-	299	242	(19)	427	884	107	486	494	2	3,673	5,849	7,013	20	91
Evolution	25	40	60	-	0	-	248	254	-	5	14	180	2,238	2,281	2	-	0	-	3,253	2,516	2,589	3	(20)
Fidelity	18,416	19,939	8	6,515	6,548	1	4,337	3,659	-	435	253	(42)	6,321	5,571	(112)	-	0	-	30,805	36,024	35,970	-	17
FML	-	0	-	22,654	26,594	17	10,342	10,481	-	1,720	2,349	37	66,620	132,458	99	413	422	2	80,038	101,749	172,304	69	115
Heritage	512	651	27	23	26	13	1,530	1,552	-	87	40	(54)	373	356	(5)	-	0	-	2,410	2,525	2,625	4	9
O. Mutual	421,047	433,304	3	486,725	551,078	13	115,179	107,988	-	5,524	4,510	(18)	12,825	22,638	77	14,147	14,147	-	687,080	1,055,447	1,133,665	7	65
Zb Life	1,064	3,433	223	23,382	21,619	(8)	1,569	1,970	-	242	319	(32)	1,164	2,168	86	413	403	-	25,947	27,834	29,911	7	15
Zimnat	15,440	15,440	-	10,972	11,582	6	9,475	10,502	-	610	507	(17)	-	2,288	-	2,360	232	(90)	31,503	38,857	40,551	4	33
Total	458,433	474,476	3	550,271	617,447	12	146,849	141,297	0	9,633	8,470	(12)	90,265	168,644	87	17,819	15,698	(12)	870,802	1,273,270	1,426,031	12	64

Figure 4: Life industry Asset bases for the half year ended 30 June 2013



11. Capitalization, Solvency and Liquidity Indicators

For the half year ended 30 June 2013, Life companies were largely capitalized as prescribed by Statutory Instrument 21 of 2013 (See table 6 below). The Commission is working with the affected player in order to restore compliance.

The industry reported capital to liability and liquid ratios of 20% and 287% respectively (See Table 11, below). International best practices prescribe risk (liability) based supervision. IPEC continues to urge players to gradually shift to such models as Solvency Assessment Management (SAM) of South Africa whilst development of our home grown models is on-going.

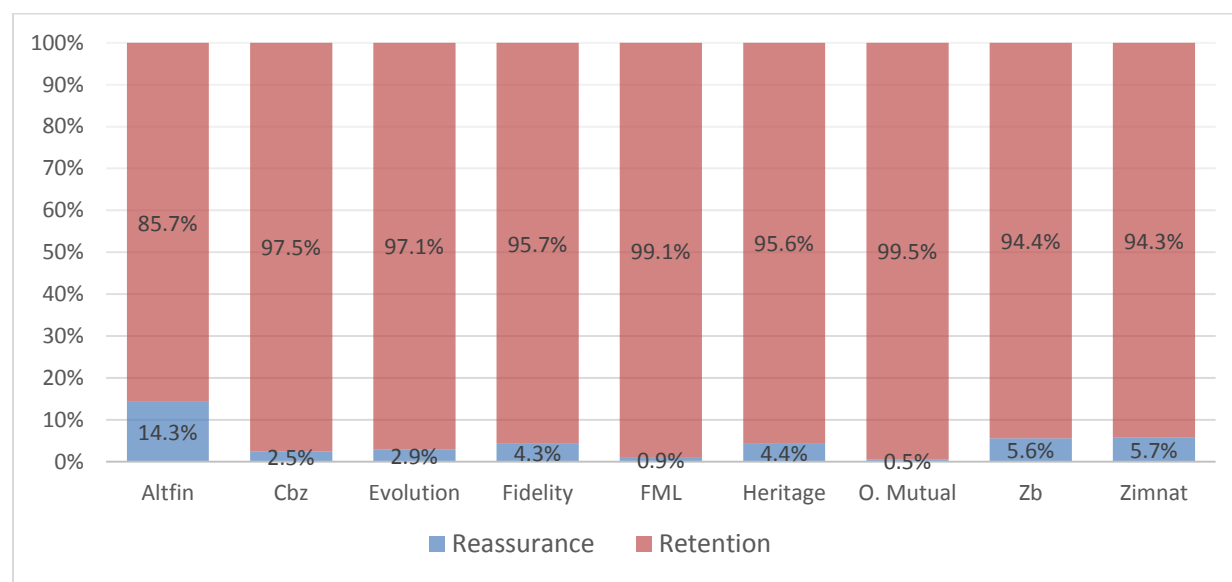
Table 11: Capitalization, Solvency and Liquidity Indicators (000)

Co. Name	Current Assets			Current Liabilities			Total Assets		Total Liabilities			Capital (Net Assets)			NPW		Capital to liability Ratio (%)			Liquidity (Current) Ratio (%)			Capital to NPW Ratio (%)		
	Mar-13	Jun-13	%	Mar-13	Jun-13	%	Mar-13	Jun-13	Mar-13	Jun-13	%	Mar-13	Jun-13	%	Mar-13	Jun-13	Mar-13	Jun-13	%	Mar-13	Jun-13	%	Mar-13	Jun-13	%
Altfin	711	867	22	1,493	1,436	-4	2,469	2,622	1,959	2,244	15	510	378	-26	886	1,719	26	17	-9	48	60	12	58	22	-36
CBZ Life	5,679	6,842	20	2,250	713	-68	5,849	7,013	2,250	2,416	7	3,599	4,597	28	1,807	3,845	160	190	30	252	960	708	199	120	-79
Evolution	339	319	-6	407	258	-47	2,516	2,589	407	432	6	2,109	2,157	2	102	233	518	499	-19	83	124	41	2068	926	-1142
Fidelity	11,092	9,483	-15	5,779	5,301	-8	36,024	35,970	27,622	28,221	2	8,402	7,749	-8	2,254	4,384	30	27	-3	192	179	-13	373	177	-196
FML	13,671	23,889	75	6,512	11,060	70	101,749	172,304	84,889	108,514	28	16,860	63,790	278	6,624	13,305	20	59	39	210	216	6	255	479	224
Heritage	1,677	1,814	8	245	91	-63	2,525	2,624	438	290	-34	2,087	2,334	12	324	653	476	805	329	684	199	-485	644	357	-287
O. Mutual	123,994	133,841	8	41,881	40,064	-4	1,055,447	1,133,665	939,071	993,049	6	116,376	140,616	21	27,937	64,719	12	1	-11	296	334	38	417	217	-200
Zb Life	2,418	2,914	21	1,953	1,733	-11	27,834	29,911	23,132	24,933	8	4,702	4,978	6	1,586	3,444	20	20	-	123	168	45	296	145	-151
Zimnat	1,914	1,818	-5	2,149	2,666	24	38,857	40,551	29,477	31,270	6	9,380	9,281	1	3,287	6,447	32	30	-2	89	68	-21	285	144	-141
Total	161,495	181,787	13	62,669	63,322	1	1,273,270	1,427,249	1,109,245	1,191,369	7	164,025	235,880	44	44,807	98,749	6	20	14	258	287	29	366	239	-127

12. Reinsurance

A high retention ratio across the industry has been noted. In order to manage cash flows and protect shareholder capital, Industry players are encouraged to prudently reinsure their risk business given the current trends of rising claims experience (see Figure 5 below and Table 2&3 above).

Figure 12: Retention Ratios



Section B

Reassurance Companies

1.0 Update on Number of Operational Institutions

This report is based on 2 life reassurers.

2.0 Business Written

Table 1 below, shows that reassurers wrote \$3million in gross premiums for the half year ended 30 June 2013(March 2013:\$2million). This rapid increase may be partly due to players spreading risks following our recommendations in our prior reports.

Table 1: Key Performance Indicators for the half year ended 30 June 2013(000)

Item	Baobab Re			FM Re			Total		
	Mar-13	Jun-13	%	Mar-13	Jun-13	%	Mar-13	Jun-13	%
Gross Premium Written	1,442	2,348	63	438	886	102	1,880	3,234	72
Net Premium Written	1,363	1,842	35	360	703	95	1,723	2,545	48
Net Claims Incurred	305	860	182	134	313	134	439	1,173	167
Net Commission Incurred	319	516	62	62	157	153	381	673	77
Management Expenses	201	427	112	127	273	115	328	700	113
Total Costs	825	1,803	119	321	743	131	1,146	2,546	122
Underwriting Profit	538	39	(93)	39	(40)	(103)	577	-1	-
Combined Ratio	61%	98%	37%	89%	106%		67%	100%	33%

3.0 Earnings

Players incurred costs which were at par with net written premiums, a 33% negative growth from the previous quarter. IPEC continues to encourage stringent cost management measures to ensure viability.

4.0 Capitalization and Solvency

For the current reporting period, both reinsurers were fully compliant with the new minimum capital requirements in line with Statutory Instrument 21 of 2013 (See Table 2,below).

Table 2: Key Performance Indicators for the half year ended 30 June 2013(000)

Item	Baobab Re			FM Re			Total		
	Mar-13	Jun-13	%	Mar-13	Jun-13	%	Mar-13	Jun-13	%
Current Assets	3,527	3,194	(9)	1,825	1,687	(8)	5,352	4,881	(9)
Total Assets	5,075	4,618	9)	2,355	2,295	(3)	7,430	6,913	(7)
Current Liabilities	424	430	1	581	495	(15)	1,005	925	(8)
Total Liabilities	3,976	3,637	9	1,163	1,105	(5)	5,139	4,742	(8)
Capital	1,099	981	(11)	1,190	1,190	-	2,289	2,171	(5)
Prescribed Assets	30	30	-	0	0	-	30	30	-
Prescribed asset Ratio	1%	1%	-	0	0	-	0	0	-
Current Ratio	832%	743%	(89)	314%	341%	27	533%	528%	(5)
Capital to liability ratio	28%	27%	(1)	102%	108%	6	45%	46%	1
Net premium written	1,363	1,842	35	360	703	95	1,723	2,545	48
Capital to Net premium written ratio	81%	53%	28	331%	169%	162	133%	85%	(48)



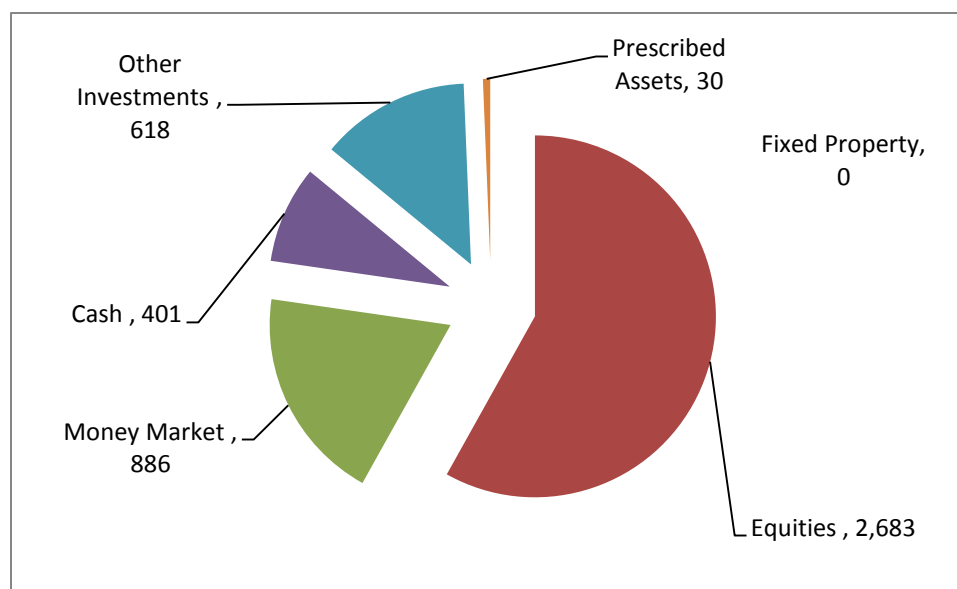
5.0 Asset Quality

For the current reporting period, asset portfolio were mainly biased towards equities-\$3million or 47% (March 2013:\$3million or 38%), money market-\$2million or 32%(March 2013:\$2million or 33%) and other investments-\$1million or 13%(March 2013:\$1million or 20%).

Table3: Total Assets for Reassurers for the half year ended 30 June 2013

Asset Type	Baobab Re			FM Re			Total		
	Mar-13	Jun-13	%	Mar-13	Jun-13	%	Mar-13	Jun-13	%
Fixed Property (000)	0	0	-	0	24	-	0	24	-
Equities (000)	2,329	2,683	15	502	585	17	2,831	3,268	15
Money Market (000)	1,070	886	(17)	1,367	1,329	(3)	2,437	2,215	(9)
Cash (000)	536	401	(25)	133	65	(51)	669	466	(30)
Other Investments (000)	1,111	618	(44)	353	292	(17)	1,464	910	(38)
Prescribed Assets	30	30	-	-	0	-	30	30	-
Total Assets (000)	5,076	4,618	(9)	2,355	2,295	(3)	7,431	6,913	(7)

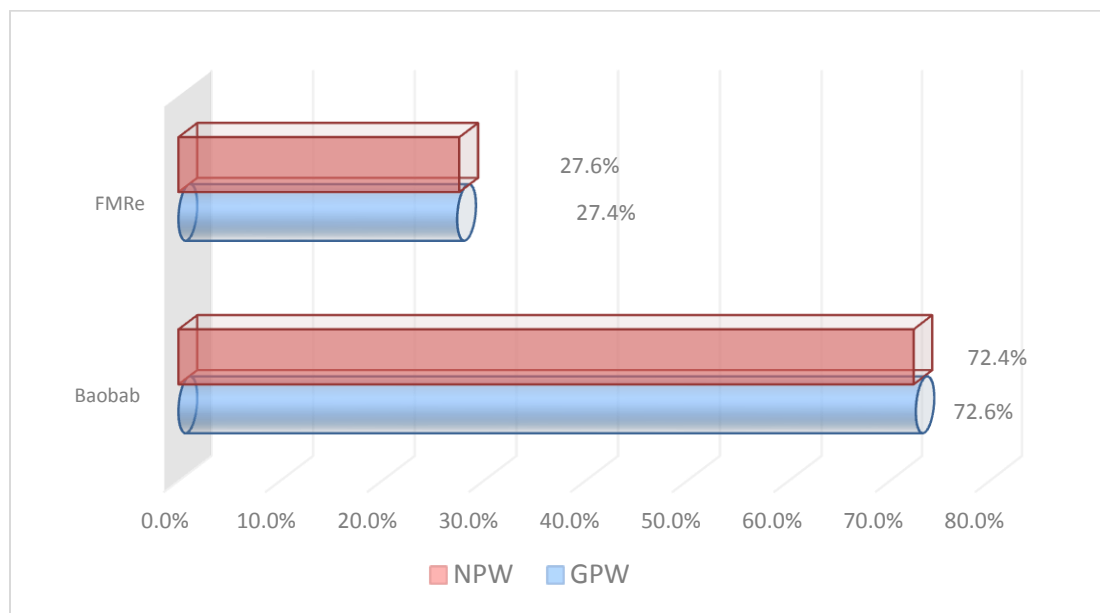
Figure 1: Total Assets for Reassurers for the half year ended 30 June 2013



6.0 Market Share

Figure 2, below, illustrates that Baobab Re Life and Health controlled 72% of the business with its peer claiming the balance (See Figure 2, below).

Figure2: Market share For Reassurers for the half year ended 30 June 2013



7.0 Circulars and Statutory Instruments

For the quarter under review the Commission issued the following circulars and statutory instruments to guide the industry on various issues affecting the operations of the industry:-

Table6: Issued Circulars and Statutory Instruments for the Half year ended 30 June 2013

Details	Subject Matter	Issue date
Circular No.5 of 2013	Corporate reporting	20 June 2013
Circular No.1 of 2013	Investment guidelines	20 March 2013
Statutory Instrument 20 of 2013	Capital Requirements for fund administrators	22 February 2013
Statutory Instrument 21 of 2013	Capital Requirements for Insurance companies	22 February 2013